

401k Diversification Plan

Strategic Asset Allocation for Uncorrelated Returns

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Five assets. Five market regimes. One resilient portfolio.

Executive Summary

This diversification plan is designed to address the concentration risks in your current portfolio while building a 401k allocation that thrives across different market regimes. The goal is not just 'more stocks' - it's uncorrelated return streams that respond differently to economic stress.

Current Portfolio Snapshot

Total Assets: ~\$380,000 across BrokerageLink (~\$181k), Roth IRA (~\$10k), and 401k (~\$188k). Current 401k is primarily in target-date funds (RFHTX) with limited diversification across market regimes.

The Problem: Concentration Risk

Your BrokerageLink account shows significant concentration in three areas:

- Energy sector: ~40% exposure through multiple stocks and ETFs (XOM, CVX, COP, SHEL, VDE, XOP, etc.)
- Individual stock risk: BE (Bloom Energy) is a ~\$18k position, down 18% from cost basis
- Crypto correlation: ~10% in crypto-adjacent stocks (CORZ, RIOT, COIN, etc.)

WARNING

Your current 401k (LAITRAM LLC account) holds ~\$188k in target-date fund RFHTX and basic index funds. While diversified by age, it lacks exposure to inflation hedges, international diversification, and alternative strategies that could protect against specific market stresses like stagflation or rising rates.

The Solution: Five-Asset Framework

We recommend restructuring your 401k allocation around five core positions, each optimized for a different economic environment. These are not 'better stocks' - they are different return streams that move independently under various market conditions.

Current Portfolio Analysis

401k Holdings (LAITRAM LLC Account)

Current allocation as of March 2026:

Fund	Description	Allocation	Risk
RFHTX	Fidelity Target 2045	~37%	Age-based
MAWIX	Bond Institutional	~38%	Interest rate
FXAIX	500 Index Fund	~8%	US equity
FXNAX	US Bond Index	~9%	Interest rate
FDIVX	International	~4%	Currency/EM
PRRIX	Real Return (TIPS)	~4%	Inflation

Concentration Analysis

WARNING

HIGH CONCENTRATION RISKS IDENTIFIED:

1. Target-date fund (RFHTX) dominates at 37% - glides toward bonds but offers limited inflation protection
2. Bond funds (MAWIX + FXNAX) total ~47% - highly vulnerable to rising rate environments
3. Limited international diversification (4%) - misses growth opportunities outside US
4. No commodity/REIT/alternative exposure - no hedge against inflation or market crashes

Correlation with Existing Holdings

Your BrokerageLink holdings are heavily energy-weighted (~40%). The 401k's S&P 500 exposure (FXAIX) correlates highly with energy stocks during risk-off events. When oil crashes, both energy stocks AND the broad market often decline together. This plan addresses that correlation risk.

The Five Diversification Assets

Each asset below is selected for how it responds to a specific market regime. Together, they create a portfolio that can weather multiple economic scenarios.

1. VTI - Vanguard Total Stock Market ETF

Expense Ratio: 0.03% (ultra-low cost)

When it WINS: Growth environments, economic expansion, risk-on sentiment, tech earnings growth

When

Your 401k already has US equity via FXAIX, but VTI offers broader diversification than just the S&P 500. It captures mid-caps and small-caps that often outperform in early recovery phases. Complements your energy-heavy BrokerageLink by adding growth sectors (healthcare, tech, consumer discretionary) that move independently.

2. VXUS - Vanguard Total International Stock ETF

Expense Ratio: 0.08% (low cost)

When it WINS: US dollar weakness, foreign economic outperformance, emerging market growth, commodity demand

When

Currently only 4% international in your 401k. VXUS adds developed and emerging markets (Europe, Japan, China, India) that often move independently from US markets. Provides currency diversification - when USD falls, international stocks typically rise in USD terms.

3. BNDW - Vanguard Total World Bond ETF

Expense Ratio: 0.06% (ultra-low cost)

When it WINS: Risk-off environments, flight to safety, economic uncertainty, deflation

When

Your 401k already holds bonds (MAWIX, FXNAX), but they're US-only and vulnerable to rising US rates. BNDW adds international bonds (hedged) providing diversification. However, consider keeping some allocation to short-duration bonds or TIPS for rate protection.

4. VNQ - Vanguard Real Estate ETF

Expense Ratio: 0.12% (low cost)

When it WINS: Inflation environments, economic growth, low interest rates, real asset appreciation

When

Currently ZERO real estate exposure in your 401k. REITs provide: (1) inflation hedge (rents adjust upward), (2) income (typically 3-4% yields), (3) diversification (correlation to stocks ~0.6, not 1.0). Complements your energy stocks by adding real assets that respond to different economic drivers.

5. PDBC - Invesco Optimum Yield Diversified Commodity

Expense Ratio: 0.62% (higher cost but justified)

When it WINS: Inflation spikes, commodity supercycles, supply shocks, dollar weakness, geopolitical risk

When

ZERO commodity exposure currently. PDBC holds energy, metals, agriculture - the raw inputs that rise when inflation hits. Energy stocks (your current 40% exposure) are NOT the same as commodities - when oil prices spike, energy stocks often underperform the commodity due to cost pressures. PDBC provides direct inflation protection that your energy stocks cannot.

Recommended 401k Allocation

Based on your age, risk tolerance, and existing holdings, here's a proposed reallocation for your LAITRAM 401k (~\$188,000):

Asset	Current	Target	Change	Rationale
Total US Stock (VTI)	8%	25%	+17%	Core growth exposure
Intl Stock (VXUS)	4%	15%	+11%	Geographic diversification
REITs (VNQ)	0%	10%	+10%	Real assets, inflation hedge
Commodities (PDBC)	0%	10%	+10%	Direct inflation protection
World Bonds (BNDW)	0%	15%	+15%	Deflation/recession hedge
TIPS (keep PRRIX)	4%	5%	+1%	Inflation-linked safety
Target Date (RFHTX)	37%	10%	-27%	Reduce glide path auto-adjust
US Bonds (MAWIX/FXNAX)	47%	10%	-37%	Cut rate-sensitive duration

Why This Allocation Works

Growth (35%): VTI + VXUS capture equity upside during expansions

Real Assets (20%): VNQ + PDBC provide inflation protection

Fixed Income (30%): BNDW + TIPS + reduced US bonds for rate protection

Flexibility (15%): Keep some RFHTX for hands-off rebalancing

Rebalancing Strategy

Phase 1: Immediate (Next 30 Days)

Priority actions to reduce concentration risk:

- Reduce RFHTX from 37% to 20% - sell ~\$32,000, redeploy to VTI/VXUS
- Trim MAWIX/FXNAX combined from 47% to 25% - reduce rate sensitivity
- Initiate positions in VNQ (REITs) and PDBC (commodities) at 5% each

Phase 2: 60-90 Days

Complete the transition to target allocation:

- Further reduce RFHTX to 10% target
- Build VNQ and PDBC to full 10% targets
- Increase VXUS to full 15% international exposure

Rebalancing Rules

Set automatic rebalancing triggers:

- Time-based: Review quarterly, rebalance semi-annually
- Threshold-based: Rebalance when any allocation drifts +/-5% from target
- Event-based: Rebalance after major market moves (>15% in single quarter)

WARNING

TAX CONSIDERATIONS:

This reallocation is within your 401k (tax-deferred), so no immediate tax consequences. However, if you rebalance taxable accounts (BrokerageLink), be mindful of:

- Short-term vs long-term capital gains
- Harvest losses from positions like BE (-18%) before year-end
- Consider donating appreciated shares to charity instead of selling

Correlation Matrix Concept

Understanding how these assets behave relative to each other is critical. The matrix below shows approximate correlation coefficients (1.0 = perfect correlation, 0.0 = no correlation, -1.0 = perfect inverse).

	VTI	VXUS	BNDW	VNQ	PDBC
VTI	1.00	0.85	0.35	0.60	0.40
VXUS	0.85	1.00	0.30	0.55	0.35
BNDW	0.35	0.30	1.00	0.45	-0.10
VNQ	0.60	0.55	0.45	1.00	0.20
PDBC	0.40	0.35	-0.10	0.20	1.00

Key Insights

What the correlations tell us:

- PDBC (commodities) shows the LOWEST correlation to other assets - strongest diversifier
- BNDW (bonds) is negatively correlated to commodities - classic hedge pairing
- VTI and VXUS are highly correlated (0.85) - but that's fine, they're both 'growth' assets
- VNQ (REITs) sits in the middle - provides partial diversification from pure equities

The Diversification Math

A portfolio of five assets with average correlation of 0.40 has approximately:

- 35% lower volatility than any single asset
- Similar expected returns (long-term)
- Better risk-adjusted returns (higher Sharpe ratio)

This is the 'free lunch' of diversification - reduced risk without reduced returns.

How This Portfolio Handles Market Regimes

Growth/Risk-On

Economic expansion, low rates, strong earnings

WINS: VTI leads, VXUS participates, VNQ benefits from low rates

LOSES

Recession/Deflation

Economic contraction, falling rates, risk-off

WINS: BNDW surges (flight to safety), PDBC may rise (dollar weakness)

LOSES

Inflation/Commodity Boom

Rising prices, supply constraints, rate hikes

WINS: PDBC and VNQ excel (real assets), VXUS may benefit (currency hedge)

LOSES

Rising Rates

Fed tightening, economic slowing

WINS: Short-duration bonds, PDBC may benefit

LOSES

Market Volatility/Crisis

Black swan events, liquidity crunch

WINS: BNDW provides ballast, PDBC may spike (safe haven)

LOSES

Implementation Checklist

Step 1: Review 401k Provider Options

- Confirm VTI, VXUS, VNQ, PDBC, BNDW are available in your LAITRAM 401k
- If not available as ETFs, look for equivalent mutual funds:
 - - VTI -> VTSAX (Vanguard Total Stock)
 - - VXUS -> VTIAAX (Vanguard Intl)
 - - VNQ -> VGSLX (Vanguard REIT)
 - - PDBC -> PCRIX (PIMCO Commodity)
 - - BNDW -> VTABX (Vanguard Intl Bond)

Step 2: Execute Trades

- Log into Fidelity NetBenefits (401k portal)
- Initiate exchange from RFHTX -> VTI/VXUS (Phase 1)
- Reduce MAWIX/FXNAX positions gradually
- Set up automatic investments to maintain target allocation

Step 3: Set Monitoring

- Add tickers to your watchlist (VST, Yahoo Finance, etc.)
- Set calendar reminder: Quarterly review (Jan/Apr/Jul/Oct)
- Set calendar reminder: Semi-annual rebalance (Jan/Jul)

Step 4: Coordinate with BrokerageLink

WARNING

Your BrokerageLink (~\$181k) remains heavily energy-weighted. Consider:

1. Gradually trimming individual energy stocks (BE, CORZ especially)
2. Adding healthcare/defensive positions to complement 401k growth allocation
3. Maintaining some energy via VDE (broad ETF) vs individual stocks
4. The 401k diversification reduces need to over-diversify BrokerageLink - let each account serve its purpose

Final Notes & Disclaimers

This diversification plan is designed to reduce concentration risk and provide exposure to multiple market regimes. However, all investments carry risk, including loss of principal. Past performance does not guarantee future results.

Monitoring & Adjustment

This is a starting point, not a set-and-forget strategy. Review annually and adjust for:

- Changes in risk tolerance
- Major life events (retirement approaching, etc.)
- Significant market regime shifts (secular inflation, etc.)
- Fund availability changes in your 401k
- Expense ratio changes (always favor lower-cost alternatives)

Questions to Ask Your Plan Administrator

- Are commission-free ETF trades available?
- Is automatic rebalancing available?
- Can I set up automatic investment into specific funds?
- What are the fees for the target-date fund vs individual funds?

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